

Mastercard vs. its payment peers

Pricing power, moat, valuation and the risks that could break the thesis · October 10, 2026

For an investor protecting savings from inflation, the question that matters most about a company is whether it can pass rising costs on to its prices without losing customers, and keep growing while it does. This report tests Mastercard against five listed peers on that question, and on growth, valuation, profitability, balance sheet and capital returns.

Key findings

- **It passed the inflation test.** In FY2022, the year US inflation peaked at 9.1%, Mastercard's sales rose 17.8%, and its operating margin widened from 54.4% (FY2021) to 58.0% (FY2023).
- **Toll-road economics.** Operating margin 59.9%, return on invested capital 93.8% and free cash flow equal to 47.6% of sales over the last twelve months.
- **Valuation is demanding but below its own history.** 27.7× forward earnings, against a five-year average of 36.4× and 26.7× for Visa.
- **The watch point is the banks.** Incentives paid to card-issuing banks grew 22% in Q2 2026, against 10% for payment-network net revenue: pricing power is strong toward merchants, weaker toward large issuers.

Figures come from stockanalysis.com (data supplied by S&P Global Market Intelligence) and the sources named in each section. Prices are at the October 9, 2026 close (Adyen: October 8, in euros); financial statements run through June 2026. Nothing has been estimated: "n/m" marks a figure that is not meaningful or not published.

1. The peer set

Only Visa matches Mastercard's size; the other four are the largest listed businesses competing for the same transaction. Capital One, which now owns the Discover network, was left out because it is a bank; UnionPay and JCB because they are not listed.

Company	Ticker	Market cap	Why it is comparable	Price as of	Statements
Mastercard	MA	\$516.1B	The company under study.	Oct 9, 2026	Jul 30, 2026
Visa	V	\$707.5B	The only true like-for-like: same open, asset-light four-party card network, at larger scale.	Oct 9, 2026	Jul 29, 2026
American Express	AXP	\$208.1B	The third global card network and next-closest in size, though closed-loop and it lends.	Oct 9, 2026	Jul 24, 2026
PayPal	PYPL	\$47.5B	The largest digital-wallet/checkout network, competing for the same online transactions.	Oct 9, 2026	Jul 28, 2026
Fiserv	FISV	\$24.3B	Large US merchant acquirer (Clover) and card-issuer processor: sits on both sides of MA's network and competes in value-added services.	Oct 9, 2026	Aug 7, 2026
Adyen	ADYEN	€27.2B	Leading global merchant-acquiring platform and the fastest-growing listed pure-payments franchise.	Oct 8, 2026	Aug 13, 2026

"Statements" is the date the source last updated each company's financial statements. Visa's fiscal year ends in September; Adyen reports half-yearly.

2. Comparison table

Growth over five fiscal years, valuation at current prices, and profitability and cash flow over the last twelve months to June 2026. Mastercard's column is shaded.

Metric	Mastercard	Visa	Amex	PayPal	Fiserv	Adyen
Growth						
Sales growth, 5-yr CAGR ¹	16.5%	12.9%	16.4%	9.1%	7.4%	28.3%
Sales growth, CAGR ex-2020 base	14.8%	13.5%	11.2%	6.9%	6.9%	24.1%
EPS growth, 5-yr CAGR (diluted GAAP) ²	21.0%	15.8%	32.5%	8.9%	35.3%	31.6%
EPS growth, CAGR ex-2020 base	17.2%	16.0%	11.3%	11.3%	33.6%	21.7%
Expected EPS growth, this fiscal year ³	17.2%	15.3%	14.7%	1.5%	−16.2%	14.7%
Expected EPS growth, next fiscal year	15.5%	13.4%	14.3%	7.2%	10.6%	21.4%
Valuation						
P/E, trailing	32.4×	32.8×	18.7×	10.5×	8.8×	24.2×
P/E, forward	27.7×	26.7×	16.5×	10.0×	6.2×	20.2×
P/E, 5-yr average ⁴	36.4×	28.9×	18.4×	26.7×	30.1×	72.9×
Profitability						
Gross margin ⁵	100.0%	97.7%	62.3%	40.5%	56.2%	68.5%
Operating margin	59.9%	66.9%	20.3%	17.6%	21.4%	46.5%
Return on invested capital ⁶	93.8%	54.8%	11.9%	22.3%	6.8%	13.4%
Cash & balance sheet						
Free cash flow / sales ⁷	47.6%	47.2%	21.2%	19.3%	18.8%	−5.9%
Net debt / EBITDA ⁸	0.58×	0.32×	n/m	0.46×	3.54×	−9.29×
Capital returns						
Change in diluted shares, 5 yrs	−9.9%	−11.6%	−13.6%	−18.4%	−19.7%	3.1%
Dividend yield ⁹	0.59%	0.70%	1.23%	1.01%	0.00%	0.00%

¹ FY2020 was a COVID trough, which flatters AXP and MA; see the FY2021–FY2025 row.

² AXP's FY2020 EPS was depressed by credit provisions; Fiserv's by acquisition amortization.

³ Consensus is non-GAAP adjusted EPS, so it is not the same basis as the GAAP history. Visa's FY ends Sep.

⁴ PYPL, FISV and ADYEN averages include 2021 peak multiples, so their discount is partly a de-rating.

⁵ MA reports no cost of revenue, so S&P shows 100%. AXP's revenue is net of interest expense and provisions; not comparable.

⁶ MA's very low book equity (\$5.6B) inflates ROIC.

⁷ Adyen's FCF swings with merchant settlement balances and capex timing (FY2025: 38.2%).

⁸ Not meaningful for AXP (a lender; S&P publishes no EBITDA). Adyen's cash includes merchant funds.

⁹ Fiserv and Adyen pay no dividend.

Definitions, sources and dates

Every figure in the table comes from stockanalysis.com (S&P Global Market Intelligence data), from the per-company pages listed under Sources. FY2020 sales and EPS are derived from FY2021 values and their reported growth. Mastercard's and Visa's net debt / EBITDA is computed as (total debt – cash) / trailing EBITDA.

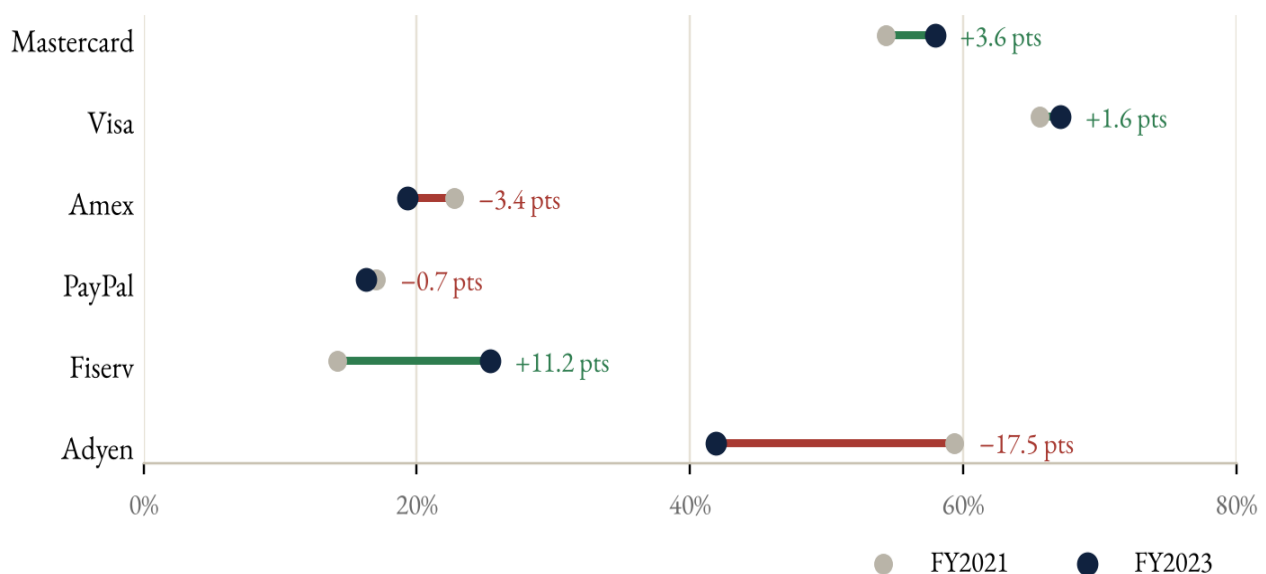
Metric	Basis	As of
Sales growth, 5-yr CAGR	FY2020–FY2025	FS updated 2026-07-24 to 2026-08-13
Sales growth, CAGR ex-2020 base	FY2021–FY2025	FS updated 2026-07-24 to 2026-08-13
EPS growth, 5-yr CAGR (diluted GAAP)	FY2020–FY2025	FS updated 2026-07-24 to 2026-08-13
EPS growth, CAGR ex-2020 base	FY2021–FY2025	FS updated 2026-07-24 to 2026-08-13

Metric	Basis	As of
Expected EPS growth, this fiscal year	FY2026e, adjusted EPS consensus	2026-10-09 (Adyen 2026-09-24)
Expected EPS growth, next fiscal year	FY2027e, adjusted EPS consensus	2026-10-09 (Adyen 2026-09-24)
P/E, trailing	Price / TTM GAAP EPS	Close 2026-10-09 (Adyen 2026-10-08)
P/E, forward	Price / consensus adjusted EPS	Close 2026-10-09 (Adyen 2026-10-08)
P/E, 5-yr average	Mean of fiscal-year-end P/E, FY2021–FY2025	FS updated 2026-07-24 to 2026-08-13
Gross margin	TTM Jun-2026	FS updated 2026-07-24 to 2026-08-13
Operating margin	TTM Jun-2026	FS updated 2026-07-24 to 2026-08-13
Return on invested capital	TTM, S&P definition	2026-10-08 to 2026-10-10
Free cash flow / sales	TTM Jun-2026	FS updated 2026-07-24 to 2026-08-13
Net debt / EBITDA	TTM; negative = net cash	2026-10-08 to 2026-10-10
Change in diluted shares, 5 yrs	FY2020–FY2025, compounded yearly changes	FS updated 2026-07-24 to 2026-08-13
Dividend yield	Trailing annual dividend / price	Close 2026-10-09 (Adyen 2026-10-08)

3. Pricing power and moat

The inflation test compares each company's operating margin before (FY2021) and after (FY2023) the 2022 price surge. A business with pricing power passes higher costs on and holds or widens its margin; one without it sees the margin shrink even when sales keep growing.

Operating margin through the inflation years, FY2021 to FY2023



Source: stockanalysis.com income statements (S&P Global Market Intelligence), updated July 24 to August 13, 2026.

	Mastercard	Visa	Amex	PayPal	Fiserv	Adyen
Sales growth FY2022	17.8%	21.6%	15.7%	8.5%	9.3%	32.8%
Sales growth FY2023	12.9%	11.4%	9.7%	8.2%	7.7%	22.2%
Operating margin FY2021	54.4%	65.6%	22.7%	17.0%	14.2%	59.4%
Operating margin FY2023	58.0%	67.2%	19.3%	16.3%	25.4%	41.9%

US consumer prices rose 9.1% in the twelve months to June 2022, the largest increase in 40 years (US Bureau of Labor Statistics, July 2022).

Mastercard — *Strong toward merchants; weakening toward large issuers*

Could it raise prices without losing volume? Yes. With US CPI up 9.1% y/y in Jun-2022, MA's sales rose 17.8% in FY2022 and 12.9% in FY2023, and operating margin widened from 54.4% (FY2021) to 58.0% (FY2023). It still raised US network fees from Oct-2023. Fees are a percentage of spend, so inflation lifts revenue without a price decision.

What protects it. Two-sided network with near-universal acceptance; issuer and acquirer relationships; security, tokenization and data services (value-added services +20% in Q2-2026, 40.6% of FY2025 net revenue); no credit risk.

What threatens it. Rebates and incentives to issuers grew 22% vs 10% for payment-network net revenue in Q2-2026; the merchant settlement cuts interchange 10 bp for five years; the CCCA routing bill; Capital One moving debit to Discover.

Sources: stockanalysis.com income statement & KPIs (2026-07-30); BLS TED (2022-07); NACS citing WSJ (2023-08-31); Mastercard Q2-2026 8-K (2026-07-30); PYMNTS (2026-06)

Visa — *Strong; equal to MA with more scale, more US-debit legal exposure*

Could it raise prices without losing volume? Yes. Sales rose 21.6% in FY2022 and 11.4% in FY2023 (Sep fiscal years), and operating margin edged up from 65.6% to 67.2%. It joined MA in the 2023 network-fee increases.

What protects it. Same two-sided network as MA at larger scale: TTM revenue \$44.5B and a 66.9% operating margin, the highest in the group.

What threatens it. DOJ debit-monopolization suit, with trial likely in 2028; legal-settlement charges of \$2.56B in FY2025; same settlement and CCCA exposure as MA.

Sources: stockanalysis.com income statement (2026-07-29); NACS citing WSJ (2023-08-31); Payments Dive (2026-08-20)

American Express — *Strong toward cardholders, but earnings carry credit risk*

Could it raise prices without losing volume? Mostly. Sales rose 15.7% in FY2022 and 9.7% in FY2023, but operating margin fell from 22.7% to 19.3% as loan-loss provisions went from -\$1.4B (FY2021 release) to \$4.9B (FY2023). In 2026 it raised the Platinum fee from \$695 to \$895 with retention near 100% and card fees +18% in Q1-2026.

What protects it. Closed loop (issuer, network and acquirer in one); affluent, high-spending cardholders; premium brand and rewards ecosystem.

What threatens it. The credit cycle (it lends; provisions \$5.0B TTM); narrower merchant acceptance outside the US; political pressure on card interest rates.

Sources: stockanalysis.com income statement (2026-07-24); The Motley Fool (2026-07-15); Payments Dive (2026-03-04)

PayPal — *Weak pricing power; a value case, not a compounder*

Could it raise prices without losing volume? No. Sales grew 8.5% (FY2022) and 8.2% (FY2023) while gross margin fell from 47.0% (FY2021) to 39.6% (FY2023), as the mix shifted toward lower-margin unbranded processing.

What protects it. Large two-sided base of PayPal and Venmo accounts and deep merchant integrations, but the moat is eroding against competing wallets and processors.

What threatens it. Online branded checkout grew just 1% in Q4-2025; CEO replaced (Enrique Lores from 1-Mar-2026); consensus FY2026 EPS growth +1.5%.

Sources: stockanalysis.com income statement (2026-07-28) and forecast (2026-10-09); Sherwood News (2026-02-03)

Fiserv — *Switching-cost moat in banking; little pricing power in merchant acquiring*

Could it raise prices without losing volume? Mixed. Operating margin rose from 14.2% to 25.4% (FY2021–FY2023) on integration savings, but sales growth slowed to 3.6% in FY2025 and consensus expects –7.8% in FY2026 after the Oct-2025 guidance cut.

What protects it. High switching costs in bank core and card-issuer processing; installed base of Clover merchants.

What threatens it. Net debt/EBITDA 3.54x with buybacks on hold until leverage is below 3x; CEO Mike Lyons left on 15-Jun-2026; activist pressure from Jana Partners.

Sources: stockanalysis.com income statement & ratios (2026-08-07), forecast (2026-10-09); TIKR (2026-06-17); WMTV/AP (2025-10-29)

Adyen — *Wins on price and product, not pricing power*

Could it raise prices without losing volume? Volume yes, margin no. Sales rose 32.8% (FY2022) and 22.3% (FY2023), but operating margin fell from 59.4% to 41.9% and gross margin from 75.9% to 61.9%: costs grew faster than revenue.

What protects it. One global platform (gateway, acquiring, risk) for enterprise merchants, low cost and rich in data; net cash. It still runs on Visa and Mastercard rails.

What threatens it. Competition with Stripe and PayPal in North America; weaker volumes flagged in Feb-2026; negative TTM free cash flow. H1-2026 net revenue +21% at constant currency, 2026 outlook raised to 21–23%.

Sources: stockanalysis.com income statement (2026-08-13); The Star / Reuters (2026-08-13)

4. Mastercard's advantages and disadvantages versus the sector

“Peer median” is the median of Visa, American Express, PayPal, Fiserv and Adyen.

Advantages	Disadvantages
Toll-road economics Operating margin 59.9% and ROIC 93.8% (TTM) vs a peer median of 21.4% and 13.4%. stockanalysis.com statistics/ratios, 2026-10-08 to 10-10	Premium valuation Trailing P/E 32.4 vs a peer median of 18.7; forward 27.7 vs Visa's 26.7 (though below its own 5-yr average of 36.4). stockanalysis.com, close 2026-10-09
Fastest earnings growth of the large networks EPS CAGR 21.0% FY2020–FY2025 vs Visa 15.8%; consensus +17.2% (FY2026) and +15.5% (FY2027) vs Visa +15.3% and +13.4%. stockanalysis.com income statement (2026-07-30) and forecast (2026-10-09)	Smaller and less profitable than Visa TTM revenue \$35.1B vs \$44.5B; operating margin 59.9% vs 66.9%. stockanalysis.com statistics, 2026-10-10
Growth beyond the toll Value-added services revenue went from \$6.9B (FY2021) to \$13.3B (FY2025), 40.6% of net revenue, and grew 20% in Q2-2026. stockanalysis.com KPIs (2026-07-30); Mastercard Q2-2026 8-K (2026-07-30)	Issuers are taking a bigger cut Rebates and incentives were 39.2% of gross revenue (TTM Jun-2026) vs 36.7% in FY2021; +22% vs +10% for payment-network net revenue in Q2-2026. stockanalysis.com KPIs (2026-07-30); Mastercard Q2-2026 8-K (2026-07-30)
High-margin cross-border mix Cross-border assessments of \$12.0B in FY2025; cross-border volume +12% in Q2-2026. stockanalysis.com KPIs (2026-07-30); Mastercard Q2-2026 8-K (2026-07-30)	Regulatory and litigation overhang Legal-settlement charges of \$504M in FY2025; the merchant settlement cuts interchange 10 bp for five years; the CCCA has been endorsed by President Trump. stockanalysis.com (2026-07-30); PYMNTS (2026-06); Payments Dive (2026-03-04)
No balance-sheet credit risk MA does not lend; AXP carries \$5.0B of TTM loan-loss provisions. stockanalysis.com AXP income statement (2026-07-24)	Rising leverage, thin equity Total debt \$24.6B (Jun-2026) vs \$19.8B (Dec-2025); net debt/EBITDA 0.58x vs Visa 0.32x; book equity only \$5.6B. stockanalysis.com financials & statistics, 2026-07-30 / 2026-10-10
Proven pricing power Sales +17.8% in FY2022 at the 9.1% CPI peak; operating margin up 3.6 points FY2021–FY2023; network-fee increases from Oct-2023. stockanalysis.com (2026-07-30); BLS (2022-07); NACS citing WSJ (2023-08-31)	Low income yield Dividend yield 0.59% vs AXP 1.23% and PayPal 1.01%. stockanalysis.com, close 2026-10-09
Steady capital return Diluted shares –9.9% FY2020–FY2025; \$4.9B repurchased in Q2-2026; 14 consecutive years of dividend growth. stockanalysis.com (2026-10-10); Mastercard Q2-2026 8-K (2026-07-30)	Exposure to rail substitution Capital One is moving about 25M debit cards from Mastercard to Discover; Wero has more than 53M accounts in Europe; the US stablecoin law (GENIUS Act) was signed in Jul-2025. PaymentsJournal (2026-03-03); Doctor of Credit; Sovereign Magazine (2026-07-20); Deloitte DART (2025-07)

5. Three risks that could break the thesis

Each risk with the indicator most likely to signal it early, and that indicator's latest reading.

1. Price or routing regulation

How it breaks the thesis. A routing mandate on US credit cards (CCCA), tighter settlement terms or foreign fee caps would cut the network's take rate on the same volume.

Early indicator to watch. The CCCA getting a floor vote or riding on a must-pass bill; payment-network net revenue growing persistently slower than gross dollar volume; the legal-provisions line.

Latest reading. CCCA not passed as of 29-May-2026. Settlement preliminarily approved 9-Jun-2026. Q2-2026: payment-network net revenue +8% currency-neutral vs GDV +8% local, in line.

Sources: NACS (2026-05-29); PYMNTS (2026-06); Mastercard Q2-2026 8-K (2026-07-30)

2. Issuer bargaining power and network switching

How it breaks the thesis. Large issuers extract ever-larger incentives, or move volume to a network they own (Capital One–Discover), so revenue lags volume.

Early indicator to watch. Rebates and incentives as a share of gross revenue, and their quarterly growth vs gross revenue growth; contract renewals or losses with top issuers.

Latest reading. 36.7% (FY2021) to 39.2% (TTM Jun-2026); +22% vs +10% for payment-network net revenue in Q2-2026; Capital One's first debit phase covers about 25M cards.

Sources: stockanalysis.com KPIs (2026-07-30); Mastercard Q2-2026 8-K (2026-07-30); PaymentsJournal (2026-03-03)

3. Disintermediation of card rails

How it breaks the thesis. Account-to-account schemes (Pix, UPI, Wero), stablecoins and AI-agent checkout route spending around the card network, starting with e-commerce and cross-border.

Early indicator to watch. Switched-transaction and cross-border volume growth slowing below GDV growth; Wero e-commerce adoption; stablecoin payment volumes at major merchants.

Latest reading. Q2-2026: switched transactions +9%, cross-border +12%, GDV +8%, all still healthy. Wero live for e-commerce in Belgium and Germany, France planned for autumn 2026.

Sources: Mastercard Q2-2026 8-K (2026-07-30); Sovereign Magazine (2026-07-20)

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